

USMagneFuels, Inc.

[REDACTED]

[REDACTED] July 24, 2004

QUOTATION NUMBER [REDACTED]

issued by USMagneFuels, Inc., to

XXXXXX
XXXXXX
XXXXXX

for

ONE 50 KW UNIFIED TOTAL-LINEAR RECYCLER FOR TEST PURPOSES

according to the specifications set forth in the web site

<http://www.magnegas.com>

that is an integral part of this quotation, plus the following additional specifications:

GENERAL DESCRIPTION

The recycler will be composed of: one 50 Kw AC-DC power unit Miller Dimension 1000; one modular PlasmaArcFlow Station; one main tower; one liquid level tower; one PlasmaArcFlow pump; one cooling pump for Total Mode; one radiator with fan for cooling in Total Mode; one filling pump; one sand filter with backwash capabilities; one magnegas storage tank; one magnegas filter; one magnegas flow regulator; gauges for pressure, temperature, arc voltage, arc amperage, and liquid level; one panel for automatic control of the arc and manual control of the three pumps and other systems; the Recycler will be complete of all hydraulic and electric connections.

The PlasmaArcFlow module will be built with all internal components coming out of the module following release of fasteners for rapid inspection and service. The PAF Module will be connected to the main tower via valves for its rapid insulation so that inspection and service in the PAF module will not affect the rest of the Recycler. Electrodes will be 1-1/2" in diameter at the available length with interlocking to avoid halting operation for the replacement of the electrodes. Also, the electrodes will penetrate into the PAF module vertically from the top via three seals, thus allowing long operations without interruptions.

Since the electrodes penetrate into the PAF module from the outside, the maximal allowed operating pressure will be 15 (fifteen) psi or 1 (one) bar. Therefore, all welding and connections will be warranted up to a maximum of 3 (three) times the operating

pressure, that is, up to a maximum of 3 bars. The low operating pressure is also necessary for safety since this Recycler is for test purposes, thus exposed to prospective customers.

All components of the Recycler will be assembled on a single metal basement with the exception of the Miller Power unit, cables and control panel that will be external. The expected dimension of the basement are 6' x 12' with a maximal height of about 10'. In this way, the Recycler can be easily picked up with a fork lift, placed on an ordinary truck together with the power unit and controls, and driven to location for tests where the Recycler will be ready to operate in minutes (from the truck itself, if needed) following electric connection to the local power.

SCOPE OF THE RECYCLER

Buyer understands and warrants full knowledge that this recycler IS NOT released for industrial uses, but for TEST PURPOSES, that is, for the conduction of tests at the location of prospective customers to secure orders, and this is the reason for incorporating various operating modes. Following said tests and following the identification of the appropriate mode per each given liquid, the industrial recycler to be released to customers will have only one dedicated operating mode to reduce costs.

PROCEDURE FOR ORDER OF PAF RECYCLERS

No order will be accepted by USMagneFuels unless: 1) the order carries a written approval for the use of the PlasmaArcFlow Recyclers by local EPA authorities for the specifically identified liquid and mode of operation; 2) the order follows the conduction of the necessary tests on location to identify the most effective mode of operation for the selected liquid; and 3) USMagneFuels receives all necessary specs, such as main features of the liquid feedstock, requested average flow recycling in gallons/liters per hour, and intermittence of operations. All order will require 50% down payment as a condition to initiate construction and the payment of the balance at the test and acceptance of the Recycler. No Recycler can leave the USMagneFuels plant for test or inspections or delivery without payment in full. All possible tests have to be done at the USMagneFuels Plant in 

SELECTION OF LIQUID FEEDSTOCK

In purchasing this Recycler Buyer warrants full knowledge of the impossibility for USMagneFuels to have tested all possible liquid feedstocks. Therefore, Buyer is strongly advised to avoid as much as possible R&D in recycling new liquids and concentrate initially in recycling liquids already tested by USMagneFuels. Buyer is also advised that the cost of testing new liquids not already tested by USMagneFuels should be paid by prospective customers, since these tests require considerable use of the Recycler, technicians, chemical analyses, EPA approvals, etc. USMagneFuels warrants to provide full technical assistance in the test of new liquid feedstock, with the clear understanding that USMagneFuels will pay no cost at all for testing new liquids, and that all reasonable costs will be paid by the prospective customers since the environmental problem to be solved is his and not the Buyer's or the manufacturer's problem.

TOTAL MODE

This mode is intended for the recycling of highly contaminated liquids that have to be completely eliminated and processed into MagneGas, heat and carbonaceous precipitates. The Total Mode consists in: priming the Recycler with an inert gas (the use only since subsequently the recycler will be full of magnegas), filling up the recycler with the dedicated pump connected to an outside liquid feedstock tank or pond up to the maximal allowed level automatically set by the level tower, at which point the PlasmaArcFlow can be initiated and the liquid is entirely eliminated by the arc molecule by molecule.

The Level Tower will automatically add liquid feedstock following processing. The operator will essentially add manually the electrodes during operations and control the proper use, such as to make sure that hoses to the outside tank or pond do not suck air. After 10 to 15 minutes of operation, the cooling system has to be manually activated following temperature reading on the controls via the activation of the dedicated pump recirculating the liquid feedstock through the radiator and related fan. In this Total Mode the operator has to set the proper mixture of liquid feedstock and water (see below), to identify the maximal flow of the liquid feedstock under a stable arc via the sensors on the controls, control all operations and secure all necessary samples for local EPA approvals.

Buyer warrants full knowledge that the heat produced by the Recycler in the Total Mode is merely dissipated by the radiator and fan and cannot be used. This is due to the fact that the addition of a heat exchanger for the utilization of the heat will imply a cost of the recycler considerably bigger than the promotional cost identified below. In any case, heat exchangers constitute established technology and, therefore, they are not necessary for the purpose of this Recycler of securing orders.

LINEAR MODE

This mode is intended for the sterilization of city, farm or ship sewage with up to a maximum of 10% biocontaminants, the rest being usable water not to be eliminated. If the liquid feedstock has more than 10% biocontaminants, it should be diluted with tap, lake, well, or river fresh water. Following a single passage through the arc, all substances in suspension are carbonized, the liquid feedstock is sterilized, sent to the main tower and then pushed by the operating pressure of MagneGas through the sand filter for release in the outside. In the Linear Mode the Recycler will, produce MagneGas, effluent waters excellent as liquid fertilizer, and carbonaceous precipitates without any production of usable heat.

In this case the operator has to identify the maximal flow under which all substance in SUSPENSION are entirely (and not partially) carbonized and removed by the sand filter resulting in an effluent liquid that is transparent but not potable since the substances in SOLUTION are sterilized but not essentially changed by the Recycler. A carbon filter for the partial removal of the substance in solution is available on an optional basis jointly with a UV Station to increase the operating flow while assuring complete sterilization of the effluent waters.

In purchasing the Recycler Buyer warrants to be fully aware of the fact that work in the Linear Mode is temporary and possible until the sand filter is clogged up by carbonaceous substances creating back pressure at which point no liquid feedstock is released at the operating pressure of 1 bar, work has to be stopped and the sand filter has to be cleaned in backwash mode.

This limitation is due to the fact that the additional equipment needed for continuous operation in the Linear Mode, consisting of a second filter (one operating in effluent and the other in backwash mode with automatic switchoff), a centrifuge for the removal of carbonaceous precipitates, additional piping and controls, may surpass, alone, the entire promotional cost of the recycler as set forth below. This additional equipment for continuous operations in the Linear Mode will be available to Buyer as Options identified below set in a separate basement that can be easily connected later on to the Recycler.

In any case, USMagneFuels sees no need for continuous operations in the Linear Mode since this Recycler is intended for test only and all additions for continuous work in the Linear Mode are provided by fully established technologies. Therefore, any prospective customer who, following tests in the Linear Mode for the durations of hours, has doubts on the capability of these established technologies to assure continuous operations following due payment of their cost, is not qualified and should be dismissed.

TOTAL-LINEAR MODE

In certain liquids, such as those with a heavy lattice structure, it is useful to use first the recycler in the Total Mode to break up said matrix and then switch to the Linear Mode for the filtration of the carbonized substances in suspension. This is essentially a batch mode of operation whose success depends on the training and skill of the operator. However, once the best combination of Total-Linear Modes is identified, its industrial repetition is easy for routine operations.

WARRANTIES

The Recycler will have independent warranties from the manufacturers of: the Miller AC-DC Converter; the three pumps; the magnegas filter; the sand filter; and other parts. USMagneFuels will warrant all remaining components. Said warranty is limited to one year from the date of delivery and is restricted to the free replacement of apparently defective parts that will be replaced by Buyer at its own costs due to the simplicity of the replacements.

The Recycler will be delivered with a box of 10 (ten) electrodes. Buyer is expected to purchase additional electrodes in any desired amount directly from the selected manufacturer in the USA or abroad. USMagneFuels DOES NOT warrant the electrodes, nor is responsible for their production or for their cost. Buyer is responsible for the use of electrodes whose cylindrical surface has to be sufficiently smooth as per USMagneFuels Specs to permit passage through the seals without damaging the latter or having leaks.

USMagneFuels is also not responsible for any improper use of the Recycler, such as for its use at pressures above 1 bar, or for the use of non-authorized liquid feedstock (such as

sea or salt water that require special internal coating), or for the use of authorized liquid feedstock but under non-authorized levels in the main tower.

MANUFACTURER'S DUTIES

Following delivery of the Recycler, USMagneFuels warrants the availability of all possible technical support for the proper training of Buyer's technicians, the proper conduction of all tests, and all necessary technical assistance for securing orders of PlasmaArcFlow Recyclers. All personnel and other costs besides phone consultations have to be paid by prospective customers and/or by Buyer as elected by Buyer.

BUYER'S DUTIES

Buyer is responsible for the cost of at least one week training of at least one technician at the manufacturer plant in [REDACTED] said training to occur not only in the proper use of the Recycler, but also in the proper preparation of water-base liquid feedstock (such as the proper dilution of sewage) or the proper preparation of oil-base liquid feedstock (such as the water or other oxygen rich additive necessary for proper processing of oil wastes). In accepting delivery of the Recycler, Buyer warrants not to initiate tests with prospective customers without prior consultation with the manufacturer. Finally, in accepting delivery of this Recycler Buyer warrants NOT to seek orders from prospective customers without the formal approval by local EPA or other authorities which orders would be refused by USMagneFuels under these conditions in any case.

DEMO STATION

In accepting delivery of the Recycler, Buyer warrants to be aware that the MagneGas produced during the tests cannot be released in the air, and must be properly used in conformity with local environmental laws. Consequently, the sole availability of the Recycler is basically insufficient for the conduction of tests. It is Buyer's duty to secure, in addition to the Recycler and prior to any test, a new or used compressor and high pressure bottled for the proper storage of the magnegas produced, or, in their absence, a 30-40 Kw new or used AC generator running on MagneGas so as to use all fuel produced during the tests. Buyer must also secure a new or used 4-ways exhaust analyzer that is essential for the acceptance by the local EPA authorities of MagneGas as a fuel because, in its absence, no EPA authorization can be secured for the sale of recyclers. The purchase of a new or used car running on MagneGas is recommended but not obligatory.

Buyer will pay USMagneFuels technicians at cost for the selection, conversion and tests of this additional equipment, such as for the proper selection of an AC generator suitable to run on Magnegas, or for the proper selection and final adjustment of a car produced to operate on natural gas and used on MagneGas. Buyer's coverage of cost will also include paying for possible trips on location by USMagneFuels Technicians as requested by Buyer.

Buyer explicitly warrants and reassures USMagneFuels that no equipment will be selected, and/or purchased and/or used without authorization by USMagneFuels technicians.

OPTIONS

Without obligation, Buyer has the option to purchase the following additional equipment at any time during or after the construction and delivery of the Recycler to enhance the Linear Mode:

- 1) One Carbon Filter for the partial removal of contaminants in solution;
- 2) One Trojan UV Station for assuring sterilization of the liquid under increased PlasmaArcFlow.
- 3) A second Sand Filter and centrifuge for continuous operations.

No cost of the above and other optional equipment is available at this time. In the event subsequently interested, Buyer may, without obligation, request a quotation of cost of this optional equipment and USMagneFuels may, without obligation, sell it to Buyer at a mutually agreed price.

TERMS OF SALE

The total promotional cost of the above specified 50 Kw Unified Total-Linear Test Recycler is set at \$150,000 (one hundred and fifty thousand US dollars) to be paid 50% (\$75,000) at the signature of this Quotation for acceptance by the Buyer as a condition to initiate construction, and the balance of 50% (\$75,000) to be paid at the time of test and delivery of the Recycler at the USMagneFuels plant in [REDACTED]

All payments have to be made to USMagneFuels, Inc. at the address specified in the head of this quotation or at the alternative location of [REDACTED]

[REDACTED] In accepting this quotation Buyer warrants to be fully aware that USMagneFuels and its officers are solely and entirely responsible for this order.

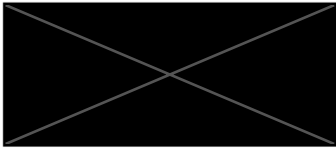
Buyer warrants full understanding that the Recycler cannot be released and cannot leave the USMagneFuels plant in [REDACTED] for any reason, whether for tests or inspection, unless paid in full.

The delivery time will be 4 (four) months, not from the date of signature of this Quotation for acceptance, but from the date of arrival in Florida of the \$75,000 down payment.

The promotional price of \$150,000 expires in the evening of Monday, August 2, 2004, and it is valid under the specific condition that the \$75,000 down payment arrives to USMagneFuels Florida on or before said date. Following that deadline this quotation is entirely null and void.

In faith

SIGNATURE FOR THE MANUFACTURER



SIGNATURE BY BUYER

date

XXXXXX

date